

# Claims, Coverage & Deductible Reference Guide

Property & Casualty | Homeowners HO-3 | Auto | Umbrella

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# 1. The Claims Process — Step by Step

When you file a claim with Crestline Insurance, it moves through a structured five-stage process.

## Stage 1: FNOL Received (Day 0)

Your First Notice of Loss is logged and a claim number is assigned immediately. You receive a confirmation email with your claim number and next steps.

## Stage 2: Adjuster Assignment (Days 1–2)

A licensed adjuster is assigned based on claim type and location. For catastrophe events, assignment may take up to 3 business days.

## Stage 3: Inspection (Days 3–7)

The adjuster visits the property or inspects the vehicle. Before the inspection: photograph all damage, list damaged items, and do not make permanent repairs.

## Stage 4: Estimate & Review (Days 7–14)

The adjuster prepares a detailed estimate compared against coverage limits, deductible, and sub-limits.

## Stage 5: Settlement (Days 14–21)

Crestline issues payment. You are free to choose your own contractor — Crestline does not mandate vendors.

# 2. Claims Timeline Reference

| Claim Type                  | Typical Timeline | Catastrophe Events | Key Factor                                  |
|-----------------------------|------------------|--------------------|---------------------------------------------|
| Property Damage (Hail/Wind) | 14–21 days       | 30–45 days         | Adjuster availability                       |
| Property Damage (Fire)      | 21–30 days       | 45–60 days         | Cause investigation required                |
| Water Damage (Sudden)       | 14–21 days       | N/A                | Mold risk accelerates processing            |
| Water Damage (Gradual)      | NOT COVERED      | N/A                | Must be sudden and accidental               |
| Auto Collision              | 10–14 days       | N/A                | Police report speeds processing             |
| Auto Comprehensive          | 7–14 days        | 21–30 days         | Glass claims often same-day                 |
| Theft                       | 14–21 days       | N/A                | Police report required                      |
| Personal Liability          | 30–90 days       | N/A                | Legal review may be needed                  |
| Umbrella Liability          | 30–90 days       | N/A                | Underlying policy exhaustion verified first |

### 3. Deductible Guide

Your deductible is the amount you pay out of pocket before insurance coverage begins.

#### Types of Deductibles

| Deductible Type  | How It Works                                                                 | Typical Range      | Applies To                                   |
|------------------|------------------------------------------------------------------------------|--------------------|----------------------------------------------|
| Flat Dollar      | Fixed amount subtracted from every claim                                     | \$500 – \$5,000    | Standard homeowners, auto                    |
| Percentage-Based | % of dwelling coverage (Coverage A)                                          | 1% – 5%            | Wind/hail in TX, hurricane in coastal states |
| Split Deductible | Flat for most perils + % for wind/hail                                       | Varies             | Texas homeowners policies                    |
| Disappearing     | Reduces to \$0 once claim exceeds threshold                                  | Rare               | Some older/specialty policies                |
| Aggregate Annual | One deductible per year, not per claim                                       | \$2,500 – \$10,000 | Some commercial policies                     |
| Umbrella         | No deductible — umbrella kicks in after underlying policy limit is exhausted | \$0                | Umbrella / excess liability                  |

**Important:** Your deductible is on your declarations page. Umbrella policies have no separate deductible — they activate once your underlying auto or homeowners liability limit is exhausted.

### 4. Texas Wind/Hail Deductible — Worked Examples

Texas law allows a percentage-based deductible for wind and hail damage, applied to your Coverage A (dwelling) amount.

| Dwelling Coverage (A) | Wind/Hail % | Deductible | Claim Estimate | You Receive            |
|-----------------------|-------------|------------|----------------|------------------------|
| \$250,000             | 1%          | \$2,500    | \$15,000       | \$12,500               |
| \$250,000             | 2%          | \$5,000    | \$15,000       | \$10,000               |
| \$320,000             | 2%          | \$6,400    | \$10,000       | \$3,600                |
| \$320,000             | 2%          | \$6,400    | \$25,000       | \$18,600               |
| \$400,000             | 1%          | \$4,000    | \$8,000        | \$4,000                |
| \$400,000             | 5%          | \$20,000   | \$18,000       | \$0 (under deductible) |

**Key Insight:** If your claim is less than your percentage-based deductible, you receive \$0. Consider lowering your wind/hail deductible at renewal if you are in a hail-prone area.

### When Each Deductible Applies

- Hailstorm damages roof → Wind/hail deductible (percentage-based)
- Tree falls during windstorm → Wind/hail deductible
- Kitchen fire → Standard flat deductible
- Pipe bursts → Standard flat deductible
- Tornado debris breaks window + water enters → Wind/hail deductible (wind was initial cause)

## 5. HO-3 Coverage Sections — What's Covered

| Section                         | What It Covers                                           | Typical Limit        | Basis                    |
|---------------------------------|----------------------------------------------------------|----------------------|--------------------------|
| Coverage A — Dwelling           | Home structure, attached garage, roof, walls, foundation | At policy inception  | Replacement Cost         |
| Coverage B — Other Structures   | Fences, detached garages, sheds, pools                   | 10% of Coverage A    | Replacement Cost         |
| Coverage C — Personal Property  | Furniture, electronics, clothing, appliances             | 50–70% of Coverage A | ACV (unless endorsement) |
| Coverage D — Loss of Use (ALE)  | Temporary housing, meals, storage if uninhabitable       | 20% of Coverage A    | Reasonable expenses      |
| Coverage E — Personal Liability | Legal liability for bodily injury or property damage     | \$100K – \$300K      | Per occurrence           |
| Coverage F — Medical Payments   | Medical for guests injured on property (no fault)        | \$1K – \$5K          | Per person               |

### Sub-Limits on Personal Property (Coverage C)

| Item Category             | Sub-Limit | Can Increase?                   |
|---------------------------|-----------|---------------------------------|
| Jewelry, watches, furs    | \$1,500   | Yes — Scheduled endorsement     |
| Firearms                  | \$2,500   | Yes — Scheduled endorsement     |
| Cash, bank notes, coins   | \$200     | No                              |
| Electronics (portable)    | \$5,000   | Yes — Scheduled endorsement     |
| Business property at home | \$2,500   | Yes — Home business endorsement |

## 6. Coverage Exclusions

| Exclusion             | Why Excluded                 | Alternative                    |
|-----------------------|------------------------------|--------------------------------|
| Flood                 | Catastrophic correlated risk | NFIP or private flood policy   |
| Earthquake            | Regional concentration risk  | Earthquake endorsement         |
| Sewer / drain backup  | Maintenance-related          | Endorsement (\$50–\$150/yr)    |
| Mold (standalone)     | Maintenance / air quality    | Covered ONLY from covered loss |
| Gradual water damage  | Maintenance neglect          | None — must be sudden          |
| Pest / termite damage | Preventable maintenance      | Termite bond / pest contract   |
| Wear and tear         | Expected aging               | None — not insurable           |
| Intentional damage    | Moral hazard                 | None                           |

## 7. Water Damage — Coverage Rules

**Covered:** sudden discharge (burst pipe, failed appliance), storm rain through wind-damaged roof, ice dam damage, firefighting water, mold from covered loss.

**NOT Covered:** flood (rising water), sewer backup (needs endorsement), gradual leaks, maintenance neglect.

**Mold Timeline:** Mold can begin in 24–48 hours. Document with photos immediately. Start drying even before filing. Professional remediation recommended for standing water over 24 hours.

## 8. Temporary Repairs & Emergency Mitigation

| Action                        | Examples                      | Reimbursabl<br>e? | Toward Deductible? |
|-------------------------------|-------------------------------|-------------------|--------------------|
| Emergency tarping             | Covering damaged roof         | Yes               | No                 |
| Board-up                      | Securing broken windows/doors | Yes               | No                 |
| Water extraction              | Pumping standing water        | Yes               | No                 |
| Tree removal (from structure) | Removing tree from roof/walls | Yes               | No                 |
| Temporary fencing             | Securing property             | Yes               | No                 |

**Key Rule:** Emergency mitigation costs do NOT count toward your deductible. Save all receipts. 24/7 emergency line: (800) 555-CREST, option 3.

## 9. Additional Living Expenses (ALE / Coverage D)

**Covered:** hotel/temporary rental, restaurant meals above normal budget, laundry, pet boarding, storage, additional transportation.

**NOT Covered:** normal expenses you'd have anyway, upgrades beyond normal standard, expenses after repairs complete.

**Limits:** Typically 20% of Coverage A. For \$320,000 dwelling = up to \$64,000. Continues until repairs complete or policy period ends.

## 10. Settlement & Payment Process

|                     | Replacement Cost (RC)              | Actual Cash Value (ACV)                  |
|---------------------|------------------------------------|------------------------------------------|
| Definition          | Replace at today's prices          | Replacement cost minus depreciation      |
| Example: 10-yr roof | Full new roof (\$18,000)           | Minus depreciation (\$11,000)            |
| Applies to          | Dwelling (A), Other Structures (B) | Personal Property (C) unless endorsement |
| Payment             | ACV first, remainder after repairs | Full ACV upfront                         |

**Mortgage Co-Payable:** For claims over \$10K–\$20K, checks may be co-payable with your mortgage company. Contact your lender's loss department — they endorse once repairs are underway.

## 11. Dispute Resolution & Appraisal

- **Step 1 — Talk to your adjuster.** Provide your contractor's estimate.
- **Step 2 — Request re-inspection.** Ask for supplemental inspection if damage was missed.
- **Step 3 — Appraisal clause.** Each party selects an appraiser, they select an umpire. Majority decision is binding on amount.
- **Step 4 — TDI complaint.** File at [www.tdi.texas.gov](http://www.tdi.texas.gov) or call 1-800-252-3439.



## 12. Umbrella Insurance — Coverage & Pricing Guide

**New Section:** This section covers umbrella (excess liability) insurance — what it is, who needs it, how it works with your existing auto and homeowners policies, and Crestline pricing.

### What Is Umbrella Insurance?

An umbrella policy provides additional liability coverage beyond the limits of your homeowners, auto, or other underlying policies. It kicks in when those limits are exhausted — protecting your personal assets, savings, and future earnings from large lawsuits or judgments.

### Who Needs Umbrella Insurance?

Consider umbrella insurance if any of the following apply:

- You own a home (homeowner liability exposure)
- You have significant assets or savings to protect (net worth over \$300,000)
- You have a swimming pool, trampoline, or attractive nuisance
- You own rental properties (landlord liability)
- You have teen drivers on your auto policy
- You own a business or serve on a board
- You are active on social media (defamation/libel risk)
- You employ domestic workers (nannies, housekeepers)
- You frequently host guests or events at your home

**Rule of thumb:** Your umbrella limit should be at least equal to your total net worth.

### How Umbrella Insurance Works — Example

| Scenario                                                                 | Without Umbrella                | With \$2M Umbrella                             |
|--------------------------------------------------------------------------|---------------------------------|------------------------------------------------|
| Auto accident: \$500K injuries, your auto liability limit is \$300K      | You pay \$200,000 out of pocket | Umbrella covers remaining \$200K. You pay \$0. |
| Guest falls at your home: \$400K lawsuit, homeowners liability is \$300K | You pay \$100,000 out of pocket | Umbrella covers remaining \$100K. You pay \$0. |
| Defamation lawsuit: \$750K judgment, no underlying coverage              | You pay \$750,000 out of pocket | Umbrella covers up to \$2M. You pay \$0.       |
| Dog bite at park: \$350K, auto/home won't cover                          | You pay \$350,000 out of pocket | Umbrella covers \$350K. You pay \$0.           |

### Coverage Limits & Pricing

Umbrella insurance is one of the best values in insurance — broad coverage at low cost relative to the protection provided.

| Coverage Limit | Annual Premium Range | Monthly Equivalent | Cost per \$1M Coverage |
|----------------|----------------------|--------------------|------------------------|
| \$1,000,000    | \$350 – \$500        | \$29 – \$42        | \$350 – \$500          |
| \$2,000,000    | \$550 – \$750        | \$46 – \$63        | \$275 – \$375          |
| \$3,000,000    | \$750 – \$950        | \$63 – \$79        | \$250 – \$317          |
| \$5,000,000    | \$1,000 – \$1,200    | \$83 – \$100       | \$200 – \$240          |

**Multi-Policy Discount:** Crestline offers a 10% discount on umbrella premiums when bundled with auto + homeowners. A \$2M umbrella with the discount is approximately \$585–\$675/year.

## What Umbrella Covers

- Personal injury liability (bodily injury to others)
- Property damage liability
- Certain lawsuits: defamation, slander, libel, invasion of privacy
- Legal defense costs — even for frivolous lawsuits
- Landlord liability for rental properties you own
- Worldwide coverage for incidents that occur abroad
- Liability from volunteer activities and board service

## What Umbrella Does NOT Cover

- Your own injuries or property damage (it's liability only)
- Business liability (requires a separate commercial umbrella)
- Intentional acts or criminal behavior
- Contractual liability (obligations you agreed to in a contract)
- Workers' compensation claims
- Professional liability / malpractice (requires E&O; policy)

## Requirements for a Crestline Umbrella Policy

To purchase an umbrella policy, you must carry minimum underlying liability limits on your existing policies:

| Underlying Policy    | Minimum Liability Required                | Why                                             |
|----------------------|-------------------------------------------|-------------------------------------------------|
| Auto Insurance       | \$250K/\$500K bodily injury               | Umbrella starts where auto liability ends       |
| Homeowners Insurance | \$300,000 personal liability (Coverage E) | Umbrella starts where homeowners liability ends |

|                                 |                     |                                          |
|---------------------------------|---------------------|------------------------------------------|
| Watercraft (if applicable)      | \$300,000 liability | Umbrella extends to watercraft incidents |
| Rental Property (if applicable) | \$300,000 per unit  | Landlord liability coverage required     |

**If your current limits are below these thresholds**, Crestline can increase them at the same time as adding the umbrella. Your agent or specialist will handle both adjustments in a single call.

## Umbrella Insurance FAQ

**Q: Does umbrella have its own deductible?**

A: No. The umbrella has no separate deductible. It activates once the underlying policy limit (auto or homeowners) is fully exhausted. The underlying policy's deductible is the only one you pay.

**Q: Can I use umbrella for a claim without filing on my auto/homeowners first?**

A: No. The underlying policy must pay its full limit first. The umbrella is excess coverage, not a replacement for your base policies.

**Q: Does umbrella cover my business?**

A: Personal umbrella covers personal liability only. If you need business liability coverage beyond your commercial general liability, you need a separate commercial umbrella policy.

**Q: Will umbrella cover me if I'm sued for something I posted on social media?**

A: Yes — personal umbrella covers defamation, slander, and libel claims. Legal defense costs are covered even if the lawsuit is frivolous.

**Q: I have teen drivers. Does umbrella help?**

A: Absolutely. Teen drivers are statistically higher risk. If your teen causes a serious accident exceeding your auto liability limit, the umbrella covers the excess. This is one of the most common reasons families add umbrella coverage.

**Q: How do I increase my umbrella limit?**

A: Contact your Crestline agent or call (800) 555-CREST. Increases are processed within 1–2 business days with no inspection required. Premium adjustments are pro-rated to your renewal date.

**Q: Does filing an umbrella claim raise my premium?**

A: Umbrella claims are rare. A single claim typically does not increase your premium. Multiple large claims may affect pricing at renewal.

## 13. Frequently Asked Questions

**Q: How long does a property claim take?**

A: Most settle within 14–21 days. Complex or catastrophe claims: 30–45 days. Fire claims: 21–30 days.

**Q: Can I choose my own contractor?**

A: Yes. Crestline does not require specific contractors. The adjuster's estimate sets the payment baseline.

**Q: What if I disagree with the estimate?**

A: Discuss with your adjuster first. Then: re-inspection, appraisal clause, or TDI complaint.

**Q: Will filing a claim raise my premium?**

A: Single claim: typically no. Multiple claims in 3 years may affect pricing. Catastrophe claims treated more favorably.

**Q: Replacement cost vs actual cash value?**

A: RC = replace at today's prices. ACV = RC minus depreciation. Dwellings are RC; personal property is ACV unless you have an RC endorsement.

**Q: Will temporary repairs be reimbursed?**

A: Yes. They're covered and do NOT count toward your deductible. Keep receipts and photos.

**Q: Mortgage company on the check?**

A: For larger claims, checks may be co-payable. Contact your lender's loss department.

**Q: Is mold covered?**

A: Only when resulting from a covered water loss. Standalone mold from humidity/neglect is not covered.

**Q: What if my home is not livable?**

A: Coverage D (ALE) pays for hotel, rental, meals. Limit: 20% of dwelling coverage. Keep receipts.

**Q: Do I need umbrella if I already have homeowners?**

A: Homeowners Coverage E (liability) typically caps at \$300K. If a lawsuit exceeds that, you pay the difference out of pocket. Umbrella covers the excess — highly recommended if your net worth exceeds \$300K.

## 14. Contact & Emergency Numbers

| Service                 | Phone                  | Hours              | Notes                          |
|-------------------------|------------------------|--------------------|--------------------------------|
| General Claims          | (800) 555-CREST        | Mon–Fri 8am–6pm CT | New claims and status          |
| Emergency Mitigation    | (800) 555-CREST, opt 3 | 24/7/365           | Water, board-up, tarping       |
| Roadside Assistance     | (800) 555-ROAD         | 24/7/365           | Towing, lockout, jump start    |
| Umbrella Specialists    | (800) 555-CREST, opt 5 | Mon–Fri 9am–5pm CT | New quotes, upgrades, renewals |
| Adjuster Direct Line    | On your claim email    | Business hours     | Call your assigned adjuster    |
| Billing & Payments      | (800) 555-CREST, opt 2 | Mon–Fri 8am–6pm CT | Premium and billing            |
| Texas Dept of Insurance | 1-800-252-3439         | Mon–Fri 8am–5pm CT | Complaints and regulatory      |

**Online:** [www.crestlineinsurance.com/claims](http://www.crestlineinsurance.com/claims) | **Email:** [claims@crestlineinsurance.com](mailto:claims@crestlineinsurance.com) | **Mail:** Crestline Insurance, 1200 Commerce St, Suite 400, Dallas, TX 75201

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